

China puts EU, UK steel tariff plans under WTO spotlight

China has requested technical discussions at the World Trade Organization on “the proper use” of the process used for modifying members’ existing tariff schedules.

Beijing’s push to open a debate on the use of article XXVIII of the General Agreement on Tariffs and Trade comes as the EU and UK prepare to introduce new restrictive tariffs on steel imports as from 1 July.

Brussels and London have both promised to open discussions under the GATT tariff rebalancing process with affected suppliers – which notably include China.

In a paper submitted to this week’s meeting of the world trade body’s Council for Trade in Goods, China acknowledged the legitimacy of negotiations under article XXVIII. But it demanded a more transparent process for ensuring that the tariff schedule rebalancing process provided equitable outcomes for the parties affected.

“Proper use of article XXVIII can serve as a ‘safety valve’ to ease members’ trade frictions within the WTO framework,” the Chinese paper said.

“Otherwise, it could become a ‘broken window’ undermining the multilateral trading system.”

How article XXVIII works

Article XXVIII allows a country to notify changes to its ‘bound’ tariff schedules under a given set of circumstances. It must open negotiations on compensation for “the contracting parties primarily concerned” by the resulting changes.

Most recently, the EU and UK [initiated joint negotiations under article XXVIII \(https://borderlex.net/2021/04/29/split-brexite-agriculture-quotas-reveal-a-pattern-of-subtle-renegotiations/\)](https://borderlex.net/2021/04/29/split-brexite-agriculture-quotas-reveal-a-pattern-of-subtle-renegotiations/) when tariff rate quotas were rebalanced after Britain left the EU.

The article allows supplier countries to impose “substantially equivalent” tariff increases against the country adapting its schedules, in the absence of a negotiated settlement.

Both [the EU \(https://borderlex.net/2025/10/07/eu-doubles-down-on-steel-protection/\)](https://borderlex.net/2025/10/07/eu-doubles-down-on-steel-protection/) and [the UK \(https://borderlex.net/2026/03/19/uk-raises-steel-tariff-to-50-cuts-import-quotas-by-60/\)](https://borderlex.net/2026/03/19/uk-raises-steel-tariff-to-50-cuts-import-quotas-by-60/) promised to open negotiations under article XXVIII with countries affected by the move to introduce tariffs of 50% on steel imports once the current safeguard measures expire on 30 June.



Brussels and London highlighted the article XXVIII initiative to bolster their claims that the new tariffs were legal under global trade law.

The European Parliament earlier today formally approved the [agreement \(https://borderlex.net/2026/04/14/eu-permanent-steel-protection-legislation-nears-finalisation/\)](https://borderlex.net/2026/04/14/eu-permanent-steel-protection-legislation-nears-finalisation/) reached last month with EU member states on the future steel tariffs and backed the European Commission's decision to negotiate under article XXVIII.

Beijing's questions put Brussels and London on the spot

In its submission to this week's meeting in Geneva, China said the process, "if properly used", could accommodate members' needs for moderate tariff adjustments while preventing arbitrary and unilateral changes to tariff commitments "which may cause chain retaliation among members if negotiations break down".

But it added: "Members, in particular developing members, desire a better understanding and clarification of article XXVIII and its relevant procedures and practices, with a view to ... ensuring that article XXVIII will be used properly to strike a sound balance between stability and moderate flexibility of tariff concessions."

Beijing asked a set of specific technical questions designed to elicit more clarity over the article's processes and the objectives for assessing whether they had been fairly conducted.

The questions are open-ended and neutral in tone – but they are clearly designed to put Brussels and London on the spot over their impending steel tariff hikes.

"Under what circumstances may a member invoke article XXVIII to modify its tariff schedule? May a member modify its schedule for the purpose of protecting a particular domestic industry?" the Chinese paper asks.

"May a member modify an unlimited number of tariff lines and raise tariffs to any desired level?"

China also questions how "fair and equitable" negotiation outcomes can be ensured, in such a way that the negotiations are "prevented from becoming a mere formality".

Allies first: the question of quota allocation

The EU and UK are both planning to offer tariff rate quotas to supplier countries which are viewed as allies and not contributing to the perceived problem of global overcapacity in the steel sector.

"When tariff quotas are offered as compensation, how can the tariff quotas be reasonably allocated to avoid substantially impairing market access opportunities of other members?" asks the Chinese paper.



“May a member offer more favourable compensation to [free trade agreement] partners than to non-FTA partners?”

In a sign that Beijing is unlikely to respond passively to a doubling of existing EU and UK tariffs for its steel exports, it also asks whether “quantitative calculation criteria” exist for assessing the withdrawal of “substantially equivalent concessions” as a retaliatory measure against such tariff rises.

China’s paper will feature on a crowded agenda for the council for trade in goods, which will meet in formal session tomorrow and Thursday (20-21 May).

The meeting is unlikely to offer any definitive answers to the questions raised by the Chinese paper.

But it will throw an analytical spotlight on the article XXVIII process just as the EU and UK prepare measures designed to limit imports of Chinese steel.